

RE: Bessent warns vs. yen shorts · JASDF 5-day scramble streak · DPRK 2nd destroyer · CRA splits · BOJ rate hike expected

NIKKEI 225

65,142.78

▲ +1.45%

USD/JPY

153.38

▼ -3.49%

BRENT

\$100.76

▲ +5.49%

BOJ RATE

1.25%

○ TODAY AT A GLANCE

- 1 Treasury Secretary Scott Bessent warned traders not to bet against the yen — citing a joint US-Tokyo intervention posture — as USD/JPY fell 3.49% to 153.38 and Brent crude topped \$100.
- 2 North Korea commissioned the Kang Kon, its second Choe Hyon-class 5,000-tonne guided-missile destroyer in 75 days, with Kim Jong Un declaring it integrated into Pyongyang's nuclear response system as Freedom Edge 2026 US-Japan-ROK drills began.
- 3 Japan's opposition Centrist Reform Alliance formalized its dissolution, with former CDP members forming a new party and ex-Komeito members returning to Komeito, further consolidating Prime Minister Sanae Takaichi's parliamentary position.

○ TOP STORIES

ECONOMY-BOJ

Bessent warns traders: 'I am the house now' on yen, citing US-Tokyo joint intervention posture

US Treasury Secretary Scott Bessent issued a direct warning to traders not to bet against the yen, declaring 'I am the house now' and citing an information edge from the July joint US-Japan currency intervention. The yen rallied sharply, with USD/JPY falling 3.49% to 153.38 as Brent crude simultaneously broke \$100, and hedge funds positioned for yen strengthening beyond 150 by year-end.

per FT: *"I am the house now": Bessent warns traders not to bet against yen"*

FT

DPRK

North Korea commissions second Choe Hyon-class nuclear-capable destroyer in 75 days as Freedom Edge 2026 launches

North Korea commissioned the Kang Kon, its second Choe Hyon-class 5,000-tonne guided-missile destroyer with 88 vertical launch cells, just 75 days after commissioning the first — the same vessel that capsized at its May 2025 launch. Kim Jong Un declared it integrated into Pyongyang's nuclear response system and pledged

to build a nuclear-armed navy, while North Korea's defense minister condemned the ongoing Freedom Edge 2026 US-Japan-ROK trilateral exercises near Jeju Island.

NAVAL NEWS, DEFENCE EXPRESS, SOUTH CHINA MORNING POST, STARS & STRIPES

POLITICS-DIET

Japan's main opposition Centrist Reform Alliance formalizes dissolution as merger talks collapse

The Centrist Reform Alliance, Japan's main opposition grouping, formally voted to dissolve on Wednesday after attempts to merge with CDP and Komeito failed, with former CDP members set to reconstitute as a new party on CDP lines. The collapse reduces organized parliamentary opposition to Prime Minister Takaichi's government ahead of the September 16 cabinet reshuffle.

per Mainichi: "Japan opposition alliance formalizes split plan after merger talks fail"

MAINICHI

OVERNIGHT

- INDO-PACIFIC** Australia's new envoy to Japan calls out China missile buildup and coercion — Australia's new ambassador to Japan publicly called out China's missile buildup and coercive behavior in an early policy statement. The remarks reinforce the bilateral security alignment underpinning Japan-Australia defense and energy cooperation. · Nikkei Asia
- ALLIANCE** Japan failed to disclose US view on PFAS found near Okinawa bases — The United States conveyed its view to Japan's government that high PFAS concentrations were found near US military bases in Okinawa, but Japan did not disclose this to the public, per a source. The disclosure gap adds to ongoing Okinawa basing tensions. · Mainichi
- INDO-PACIFIC** Japan, India and Australia hedge against a US Quad retreat — Japan, India, and Australia are developing hedging strategies for a scenario in which US commitment to the Quad framework weakens, per Nikkei Asia analysis. The three countries are deepening bilateral and trilateral security coordination independent of Washington. · Nikkei Asia
- POLITICS/DIET** CRA moves to disband after failed merger with CDP and Komeito — The Centrist Reform Alliance announced its dissolution after merger talks with the CDP and Komeito failed, with former CDP members forming a new party and ex-Komeito members returning to Komeito. The collapse further consolidates Prime Minister Takaichi's parliamentary advantage. · The Japan Times

STAT OF THE DAY

4.7%

Japan July nominal wage growth — fastest in nearly 30 years

July nominal wages rose 4.7% year-on-year, the fastest pace in nearly 30 years, reinforcing market expectations for a BOJ rate hike at its next meeting.

REGIONAL PRESSURE WATCH **WATCH**

Normal — 25 items (14 Japanese government, 11 adversary signal)

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — PM Takaichi's government confirmed the September 16 cabinet reshuffle plan and Chief Cabinet Secretary Minoru Kihara held the September 8 afternoon press conference announcing Japan's protest and impact-assessment response to China's dichlorosilane anti-dumping measures.

CHINA

The JASDF scrambled fighters for a fifth consecutive day in response to Chinese reconnaissance aircraft flights, the most sustained recent streak of Chinese aerial surveillance activity near Japanese airspace. China's Foreign Ministry Spokesperson Mao Ning's September 8 press conference reiterated that 'correctly addressing history is a benchmark for testing Japan's commitment to peaceful development,' while China's provisional anti-dumping measures on Japanese dichlorosilane — with cash deposit requirements up to 99.2% — entered effect, directly targeting Japan's semiconductor materials supply chain.

NORTH KOREA

North Korea commissioned the Kang Kon, its second Choe Hyon-class 5,000-tonne guided-missile destroyer in 75 days — carrying 88 vertical launch cells — with Kim Jong Un declaring it integrated into Pyongyang's nuclear response system and pledging a nuclear-armed navy; North Korea's defense minister condemned Freedom Edge 2026 US-Japan-ROK exercises and warned of consequences.

RUSSIA

The Kremlin formally rejected Tokyo's request to dismantle the WWII memorial statue in Khabarovsk depicting a Soviet soldier destroying a Japanese imperial border marker, extending the symbolic provocation standoff following President Putin's Etorofu visit and Russia's August 21 Bastion missile live-fire from the Northern Territories.

Senkaku / ECS: JASDF scrambles for Chinese reconnaissance flights continued for a fifth consecutive day; no new CCG territorial intrusion or kinetic incident reported today, but the sustained aerial surveillance pattern represents the most active recent streak.

"Correctly addressing history is a benchmark for testing Japan's commitment to peaceful development"

Chinese Foreign Ministry Spokesperson Mao Ning · Correctly addressing history is a benchmark for testing Japan's commitment to peaceful development: FM spokesperson — Global Times

Bottom line: North Korea's commissioning of a second nuclear-capable destroyer in 75 days — concurrent with Freedom Edge 2026 — marks a qualitative acceleration in DPRK naval nuclearization; combined with five consecutive days of JASDF scrambles against Chinese reconnaissance flights and Beijing's dichlorosilane anti-dumping measures targeting Japan's chip supply chain, all three adversary vectors are simultaneously active.

○ PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER

APPROVE

DISAPPROVE

VS PRIOR

JNN · Sep 7, 2026	62.5%	34.9%
Nikkei · Sep 5, 2026	62%	32%
Asahi · Sep 5, 2026	53%	33%
ANN · Sep 5, 2026	55.4%	29.9%
Kyodo · Sep 5, 2026	50.2%	33.9%
Mainichi · Jul 20, 2026 · 51d ago	41%	44%
Yomiuri · Sep 5, 2026	56%	32%
FNN · Sep 5, 2026	62.5%	32%
NHK · Sep 5, 2026	52.8%	33.2%
Jiji · Jul 16, 2026 · 55d ago	48.4%	26.9%

Discourse: The Centrist Reform Alliance's formal dissolution on September 9 further fragments the opposition, reducing organized parliamentary resistance to the Takaichi government ahead of the September 16 cabinet reshuffle.

Poll tracker: [Observing Japan approval-rating aggregator](#) →

TRACKERS

UPCOMING

Sep
9

Freedom Edge 2026 US-Japan-ROK trilateral exercises under way near Jeju Island

Freedom Edge 2026 trilateral exercises began September 7 near Jeju Island; North Korea has condemned the drills and commissioned a second nuclear-capable destroyer in conjunction with their launch.

Sep
16

Takaichi Cabinet reshuffle

Prime Minister Sanae Takaichi is expected to conduct a cabinet reshuffle on September 16, prioritizing continuity; the Japan Independence Party is likely to receive its first Cabinet post.

Sep
22

PM Takaichi to address UN General Assembly

Prime Minister Takaichi is confirmed to address the UN General Assembly on September 22, per earlier reporting. Japan is also seeking Takaichi-Trump talks in late September.

Sep
29

Takaichi-Trump bilateral talks (late September, target window)

Japan is seeking a Takaichi-Trump bilateral meeting in late September, per Kyodo News, timed around the UN General Assembly margins.

Oct

First anniversary of Takaichi Cabinet inauguration

◦ JAPANESE GOVERNMENT

KANTEI · CABINET · MOFA · MOD · METI · MOF · BOJ · WEDNESDAY, SEPTEMBER 9, 2026

外務省 · MINISTRY OF FOREIGN AFFAIRS · *Foreign Minister Toshimitsu Motegi*

Motegi urges Iran to exercise restraint on vessel attacks in telephone call with Iranian counterpart

Foreign Minister Toshimitsu Motegi held telephone talks with his Iranian counterpart and urged Tehran to exercise restraint in its attacks on vessels. Japan is a major importer of Middle Eastern energy and has commercial shipping interests in the region.

→ [Mainichi](#) ↗

防衛省 · MINISTRY OF DEFENSE · *Defense Minister Shinjiro Koizumi*

Defense Minister Koizumi cancels planned visit to Indonesia

Defense Minister Shinjiro Koizumi canceled a planned visit to Indonesia scheduled for around Thursday, according to a source. No reason for the cancellation was provided in available reporting.

→ [Mainichi](#) ↗

防衛省 · 陸上自衛隊 · MINISTRY OF DEFENSE / JAPAN GROUND SELF-DEFENSE FORCE

Japan Ground Self-Defense Force and US special operations forces co-host bilateral engagement to align capabilities

The Japan Ground Self-Defense Force and US special operations forces conducted a bilateral engagement aimed at aligning operational capabilities, per INDOPACOM.

→ [pacom.mil](#) ↗

防衛省 · MINISTRY OF DEFENSE

US-based F-35B squadron deploys to Japan for Unit Deployment Program

A US-based F-35B squadron deployed to Japan as part of the Unit Deployment Program, per INDOPACOM, maintaining rotational forward presence in the alliance posture.

→ [pacom.mil](#) ↗

DIET SESSIONS / LDP

LDP

Japan Independence Party (JIP) expected to receive first-ever Cabinet post in upcoming September 16 reshuffle

The Japan Independence Party is likely to receive its first Cabinet post in the Takaichi cabinet reshuffle expected on September 16, per Japan Times reporting. Prime Minister Takaichi is reported to be prioritizing continuity in the reshuffle.

◦ US-JAPAN ALLIANCE & TRADE

US TARIFFS ON JAPAN

AUTOS · 2025 DEAL

15% (incl. MFN, 2025 agreement)

Steel

50%

SECTION 232

Aluminum

50%

SECTION 232

Investment framework: \$550B strategic investment framework (2025 agreement)

Section 301: 12.5% forced-labor tariff in force since Jul 24, 2026 (net of MFN); excess-capacity investigation ongoing

Deal: 2025 US-Japan agreement in force · Section 301 forced-labor tariff entered into force Jul 24, 2026

◦ DIET WATCH

LDP / TAKAICHI CABINET

Cabinet reshuffle set for September 16; continuity-focused with JIP gaining first post

Prime Minister Takaichi's government confirmed the September 16 cabinet reshuffle plan. Bloomberg reports Takaichi is prioritizing continuity, while Japan Times reports the Japan Independence Party is likely to receive its first Cabinet post.

W I R E

◦ BUSINESS & ECONOMY

FINANCE · CNBC · MITSUI

Mitsui chairman warns sharp yen swings risk 'confused' global markets

Mitsui's chairman said sharp yen currency swings risk creating a 'confused situation' in financial and global markets, citing the simultaneous yen appreciation and Brent crude crossing \$100 — a particular concern for Japan's energy-import-dependent shipping sector. The remarks came as USD/JPY fell 3.49% in a single session.

FINANCE · BLOOMBERG

Japan's rising JGB yields stir debate over growing repatriation risk

Bloomberg reports that Japan's rising JGB yields — with the 10-year at 1.50% — are intensifying debate over whether Japanese institutional investors will repatriate overseas holdings, which would further strengthen the yen. This intersects with Bessent's intervention warning and hedge fund positioning for sub-150 USD/JPY by year-end.

◦ INDO-PACIFIC

KOREA-JAPAN · YONHAP

South Korea skips Sado mine memorial for third consecutive year

Seoul's government confirmed it will not send a representative to Japan's Sado mine memorial event for the third straight year, sustaining the bilateral historical-memory friction that has periodically complicated Japan-ROK normalization.

THE WIRE

TECHNOLOGY **Japan manufacturers' mood hits near 5-year high on semiconductor demand**

Japanese manufacturers' business sentiment reached a near five-year high driven by semiconductor sector demand, per Reuters, reflecting the ongoing global AI and chip investment cycle that is anchoring Japan's industrial recovery. · Reuters

TECHNOLOGY **Sumitomo partners with Sakana AI to develop Japan-built AI model**

Sumitomo Corporation announced a partnership with Sakana AI to develop and promote a Japan-built large AI model, advancing Japanese corporate investment in domestic AI infrastructure. · Nikkei Asia

ON THIS DAY

SEPTEMBER 8, 1951

The San Francisco Peace Treaty was signed, ending the Allied Occupation of Japan and establishing the original US-Japan Security Treaty on the same day.

The treaty's 75th anniversary falls this week, underscoring the alliance's foundational moment as US-Japan currency and defense cooperation remains at the forefront of bilateral relations.

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